Ambika Cotton Mills Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: AMBIKCO · Report prepared 21 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public financials, annual filings, credit-rating rationales and news record. This company holds no earnings calls — see Section 2.

1 Snapshot

Ambika Cotton Mills spins premium **compact cotton yarn** — yarn made on machines that suck away the loose surface fibres as the thread is twisted, giving a smoother, stronger, less hairy thread that shirt and t-shirt makers pay a premium for — at four to five units near Dindigul, Tamil Nadu, and sells about **72% of it abroad** to roughly ten countries. It also knits some of its own yarn into fabric and runs its own windmills and rooftop solar to power the mills.

Metric	Figure	What it means in plain words
Sales, FY23 → FY26	₹848cr → 823 → 702 → **₹781cr**	Fell for two years, then bounced 11% in FY26. Still 8% below FY23 and 15% below FY22's ₹921cr — a recovery, not a new peak.
Operating profit & OPM	₹176cr / 21% → 111 / 13% → 105 / 15% → **₹114cr / 15%**	OPM is operating profit margin — profit from running the mills, before interest, tax and wear-and-tear, as a share of sales. It has clawed back 2 points of the 8 it lost. Half-recovered at best.
Net profit, FY23 → FY26	₹112cr → 63 → 66 → **₹72cr**	Profit **halved** in FY24 and has recovered only a third of the fall. FY22's ₹180cr is a distant memory.
Q1 FY27 sales / net profit	**₹258cr** (+34% YoY) / **₹26cr** (+63% YoY)	A genuinely strong quarter, and the best revenue quarter in the company's history. But see the next row before reading it as a margin story.
Q1 FY27 OPM	15.3% (vs 14.0% a year ago, **17% last quarter**)	Margin rose only 1.3 points while sales rose 34% — and it went *down* from Q4's 17%. The profit jump is volume, not pricing power.
Book value / price	₹1,667 vs ₹1,651 — **0.99x**	Book value is what the accounts say the company's assets are worth after paying off everything it owes. The shares trade at **99 paise for every rupee of that**. The market is paying nothing for the business on top of its stuff.
Balance sheet, Mar 2026	Debt **₹0**; cash ₹168cr + investments ₹30cr; inventory ₹519cr	Repaid the last ₹51cr of working-capital borrowing in FY26. ₹749cr of the ₹954cr net worth is inventory, cash and receivables — the mills themselves are only ₹291cr of it.
ROCE, FY24 / FY25 / FY26	11% / 11% / **11%**	ROCE = return on capital employed: profit earned per rupee of money tied up in the business. **It has not moved in three years**, against 20–21% in FY15–FY19. The recovery has not restored returns. This is the single most damning number here.
Dividend & payout	₹37/share FY26; 30–32% payout; 2.25% yield	Paid reliably every year, roughly a third of profits. Genuine, and one of the few things you can bank on.

2 Coverage & sources

No concall transcripts were available on Screener — this report is based on a global web deep-dive.

Ambika Cotton Mills **does not hold earnings calls at all**. Verified two ways: the Screener page for AMBIKCO has no Concalls section whatsoever (its Documents block carries only Announcements, Annual Reports back to 2012, and

CRISIL credit ratings — no transcripts, no PPTs, no notes), and the local document store at /tmp/research-company/concall-tracker/ambikco/documents/concalls/ is empty.

It gets thinner. The company publishes **no investor presentation**, and as of 21 August 2026 the **FY2025-26 annual report has still not been released** — nearly five months after year-end. The newest management narrative available anywhere is the FY2024-25 annual report from August 2025, describing a year in which sales *fell* 15%. Everything about the current upturn has to be inferred from bare numbers in quarterly filings. **Read every judgement in this report with that limitation in mind.**

Sources actually used. (1) Screener.in AMBIKCO page — confirming absence of concalls, plus snapshot, quarterly, annual, balance-sheet, cash-flow, ratio and shareholding data. (2) **FY2024-25 annual report** (acmills.in, 1.0MB PDF, downloaded and text-extracted in full) — Directors' Report, MD&A, export performance, product-wise production and sales quantities, renewable-energy disclosures, BRSR energy tables, capex and debt statements. (3) **Q1 FY27 results filing**, 08 Aug 2026 (acmills.in, downloaded and extracted) — full P&L and all eight notes. (4) **Q4/FY26 audited results filing**, 26 May 2026 (NSE archives, downloaded and extracted) — full-year P&L, balance sheet, cash-flow statement and notes. (5) CRISIL rating rationale, Aug 2023 — facility size, net worth, export share, liquidity, captive-power comment. (6) Company disclosure of CRISIL revision, 30 Jul 2026 — short-term rating upgraded to A1+, long-term A+/Stable reaffirmed. (7) Reg-30 intimation, 24 Jul 2026 — spindle operationalisation and Unit IV modernisation. (8) acmills.in About Us — spindle count, knitting capacity, renewables, headcount. (9) Business Standard / Capital Market and ScanX reports on Q4 FY26 and Q1 FY27. (10) **Industry trade press and rating-agency sector research** on the cotton-yarn cycle — CARE Ratings' cotton-yarn margin outlook, ICRA's Indian Cotton Spinning report (Jan 2026), Apparel Views / Knitting Views and Textiles Resources on FY27 spinner profitability. Cross-checks: Trendlyne, EquityBulls, Quartr, Dr Vijay Malik's published analysis.

Latest update highlights — Q1 FY27 (quarter ended 30 June 2026)

- **Record revenue of ₹257.92cr, up 34% year-on-year**, and net profit of ₹25.70cr, up 61–63% from ₹15.92cr. EPS ₹44.89 vs ₹27.81. (Q1 FY27 filing, 08 Aug 2026)
- **But the margin barely moved:** EBITDA — earnings before interest, tax, depreciation and amortisation, i.e. cash profit from operations — was 15.28% of sales against 14.03%, and *below* the 17% of the immediately preceding quarter. Sales grew 34%; margin grew 1.3 points. (computed from the filing)
- **₹135cr Unit IV modernisation announced**, funded entirely from internal cash, lifting that unit from 43,000 to 45,000 spindles with better productivity and quality. (Note 3, Q1 FY27 filing)
- **6,480 new spindles are stuck in transit.** German equipment is delayed by the West Asia crisis; the shipping line expects arrival in the first week of September 2026, after which the spindles go live. A separate 6,048 spindles are already running. (Note 4, Q1 FY27 filing; Reg-30 intimation 24 Jul 2026)
- **CRISIL upgraded the short-term rating to A1+** (the top short-term grade) on 30 July 2026, reaffirming A+/Stable long-term, citing improved liquidity. (company intimation, 30 Jul 2026)
- **Sales were partly fed from the warehouse.** The quarter released ₹57.4cr of stock into cost of goods sold versus ₹24.1cr a year earlier — a chunk of the revenue growth is selling down the cotton pile, not new throughput. (computed from the filing)

Business mix & capacity — what is and isn't disclosed.
Spindles: 108,288 installed across four to five units at Dindigul, Tamil Nadu (the company's own About Us says five units; CRISIL and the annual report say four). Plus 6,048 newly operational, 6,480 awaiting delivery, and Unit IV going 43,000→45,000 — taking the fleet to roughly **123,000 spindles, about 13% more**, by FY28.
Utilisation: never disclosed as a percentage, anywhere — not in the annual report, not in the filings, not in any CRISIL rationale I could obtain. The only proxy is physical output: yarn production fell from 165.74 lakh kg (FY24) to **151.74 lakh kg (FY25)**, a 8.4% drop, while yarn *sold* collapsed 26% from 121.67 to 89.42 lakh kg — the gap went into inventory. FY26 quantities are unknown because the annual report is not out.
Exports: 72.43% of turnover in FY25 (₹495.5cr), down from 74.02% in FY24 — and down **16.5% in rupee terms**. Ten countries. CRISIL puts the long-run range at 60–70%. *Individual markets and customers are never named*; the annual report says only that it serves makers of premium branded shirts and t-shirts. FY26 export share is undisclosed.
Downstream: knitting facility converting 40,000 kg of yarn into fabric per day; 46.10 lakh kg of own yarn consumed captively in FY25. One reported segment only — "Textiles" — so **no separate profitability is visible for spinning, knitting or power**.
Captive power: 27.4 MW wind + 8.33 MW rooftop solar, meeting a stated 82–84% of energy needs. FY25 self-generation was

50.8 million units (42.24m wind, 8.67m solar) out of about 70.9 million consumed. Around 3,000 employees (1,771 on twelve-month rolls in FY25).

3 Earning-trigger thesis

The honest headline: three of the four real drivers are the industry's, not Ambika's

The **yarn–cotton spread** — the gap between what raw cotton costs and what spun yarn sells for, which is where essentially all of a spinner's profit lives — collapsed to near zero across the whole Indian industry in FY24 and has been widening ever since. Ambika's recovery tracks that industry curve almost exactly. Nothing in the public record shows the company doing something its competitors are not.

Trigger	What the public record says	Evidence so far	Horizon	Strength
Yarn–cotton spread cycle turning	Industry-wide, not company-specific. Cotton fell from a ₹1.10 lakh/candy peak in FY23 to about ₹58,000 in FY26 (−47%) while yarn prices held better. Spinning spreads went from near zero in FY24 to ₹12–18/kg in FY26. CARE and ICRA both forecast a further **150–200 basis point margin expansion in FY27** on ~10% revenue growth. Some 10–12 million spindles have been scrapped nationally, tightening supply.	Ambika's OPM 13%→15%→15%, Q1 FY27 15.3% vs 14.0%. Fits the sector template. **Raw-material cost was 62.0% of Q1 FY27 sales against 63.2% a year earlier** — the spread widened by barely a point. This is a rising tide.	2–6 quarters, then it turns again	**STRONG** but **cyclical**
Captive renewable power	27.4 MW wind + 8.33 MW solar, 50.8 million units self-generated in FY25. Reported power & fuel cost was only **₹32.6cr, or 4.6% of FY25 sales**, where a grid-dependent spinner typically runs 10–15%. CRISIL explicitly credits "adequate captive power facilities resulting in reduced power costs".	Real, permanent and paid for. Buying those 50.8 million units from TANGEDCO at roughly ₹8–9 a unit would add on the order of **₹40–45cr a year** to costs — over a third of FY26's ₹114cr operating profit. *My estimate; the company never quantifies it.*	Already in the numbers	**STRONG** but not *new*
Volume from new spindles	+6,048 live, +6,480 awaiting German shipment, Unit IV 43,000→45,000. Roughly +13% spindles for about ₹185cr, all from internal cash, no borrowing.	₹61.6cr actually spent in FY26, ₹26.1cr in FY25. Genuine, funded, under way — but modest, and both tranches have slipped.	FY27–FY28	**MEDIUM**
Inventory unwind releasing cash	Inventory days went 280 (FY23) → 344 → **475** (FY25) → 387 (FY26). Cash from operations swung from −₹138cr in FY24 to +₹228cr in FY26.	Cash is genuinely coming back and the last ₹51cr of debt is gone. But this is a **one-time release**, and Q1 FY27's growth leaned on it. A ₹519cr cotton pile still ties up half the balance sheet.	2–4 quarters	**MEDIUM**
Balance-sheet floor	Zero debt, ₹168cr cash, ₹30cr investments, CRISIL A1+/A+, 0.99x book value, reliable 30% dividend payout.	Limits how far the shares can fall. **It is not an earnings driver** and there is no buyback, capital-return policy or re-rating catalyst on the public record.	Now	**MEDIUM**
Anything structural?	**Nothing on record.** No new product line, no new geography disclosed, no downstream move beyond the knitting unit that already existed, no stated	ROCE has been pinned at 11% for three consecutive years — through the fall *and* the recovery — against 20–21% in FY15–FY19. Strip out the idle cash and it is	—	**ABSENT**

	margin or return target, no capital-allocation framework.	about 15%. Either way, well short of history.

4 Management consistency scorecard

Read this first

Ambika holds no earnings calls, so **no promise below was ever made to an analyst who could push back on it, and none has ever been followed up under questioning**. Every entry comes from a written annual report or a stock-exchange filing — documents the company drafts alone, at its own pace. There is no transcript to check tone against outcome, no moment where a management team had to explain a miss out loud. **Treat this scorecard as directional only.** It measures whether written statements came true, which is a much weaker test than the one a company with quarterly calls has to pass.

Period	Promised / stated	What happened	Verdict
FY25 AR Aug 2025	6,048 spindles with integrated solar, ₹40cr from internal accruals, **"expected to be commissioned by September 2025"**, for specialty yarns.	Still being reported as newly operational in a **July 2026** intimation — roughly **ten months late**. Cost was met from internal cash as promised.	LATE — funded as stated, delivered badly behind schedule
FY25 AR Aug 2025	**"The Company remains debt free, with no long term liabilities."** Capex to be funded from internal accruals.	**Kept.** The remaining ₹50.7cr of working-capital borrowing was repaid during FY26; borrowings at 31 Mar 2026 are zero. All ₹61.6cr of FY26 capex came from internal cash.	KEPT — the most reliable thing about this company
FY25 AR Aug 2025	Outlook: specialty yarn **"continues to have good demand"** and the knitting range "ensures more sustained profitable operations."	Written about a year in which sales fell 14.7%, exports fell 16.5%, and **yarn sold fell 26%** to 89.42 lakh kg. FY26 did recover 11%, but to a level still below FY23. "Sustained" was not the word for it.	TOO ROSY — boilerplate optimism contradicted by its own quantity tables
FY25 AR Aug 2025	Directors' Report admits growth **"fell short of internal projections"** due to geopolitical disruption and demand patterns.	Accurate, unprompted and unflattering — sitting a few pages from the rosy outlook above. Credit where it is due: they wrote down the miss.	HONEST
Q4 FY26 26 May 2026	Modernisation **"at an estimate cost of ₹75 Crores"**, fully from internal accruals, **"operational from January 2027 onwards"**, orders placed and letters of credit opened.	Three months later the same project is described as Unit IV at **₹135cr** — nearly **double** — with the work now running to March 2027. No explanation for the change was given in either filing.	PLAN MOVED — scope and cost near-doubled in one quarter, unexplained
Q1 FY27 08 Aug 2026	6,480 spindles to be operationalised on arrival of German equipment, **"first week of September 2026"** per the shipping line.	Not yet testable. Given the 6,048-spindle tranche ran ten months late, the base rate here is not encouraging.	PENDING
FY24–FY26 ongoing	Dividend policy in practice: a payout of roughly a third of profits every year.	**Kept, without fail.** Payout 32% / 32% / 30%; ₹37 per share for FY26 (370% of face value), ₹21.2cr paid out in FY26.	KEPT
Capital return since 2017	A ₹16.5cr open-market share buyback was run in February 2017 (FY17 dividend payout was nil that year).	Share count has sat at **5,725,000 ever since** — no buyback in nine years. This was a one-off, and should not be counted as a standing shareholder-return policy.	ONE-OFF — not a policy
Disclosure to Aug 2026	Implicit undertaking of any listed company: tell owners what is happening.	**No earnings calls ever. No investor presentation. FY26 annual report still unpublished five months after year-end.** Utilisation never disclosed. Customers	FAILING

and export markets never named. One reporting segment hides spinning, knitting and power economics. The FY25 report even misprints its own export decline as "0.16%" in the narrative while its table says 16.49%. Registered shareholders fell 17%, from 29,245 to 24,299, over five quarters.

5 Bottom line

VERDICT 1 — EARNING TRIGGER: REAL, BUT A COTTON CYCLE, NOT A TRANSFORMATION.

The trigger is genuine and it is working right now: a record ₹258cr quarter and profit up 63% are not noise. But look at what is actually driving it. The yarn–cotton spread went from near zero across the entire Indian spinning industry in FY24 to ₹12–18 per kg in FY26, because cotton nearly halved from its FY23 peak while yarn prices held up better; CARE and ICRA are forecasting *another* 150–200 basis points of margin for every spinner in FY27. Ambika is riding that, and little else. The tell is in its own arithmetic: **sales rose 34% while the operating margin rose 1.3 points, and raw material as a share of sales improved by barely one point** — and Q1's 15.3% margin was *lower* than the previous quarter's 17%. A company genuinely re-rating its economics does not show that pattern. Nor does one whose **ROCE has been stuck at exactly 11% for three straight years, through the crash and the recovery alike**, against 20–21% a decade ago. What Ambika does own that is structural is the 27.4 MW of wind and 8.33 MW of solar that hold its power bill to 4.6% of sales — worth perhaps ₹40–45cr a year against ₹114cr of operating profit — and a zero-debt balance sheet funding a 13% spindle expansion out of pocket. Both are real. Neither is new, and both were already there when profits halved. Expect this to keep working for a few quarters and then to turn, because that is what spreads do. Do not mistake the upswing for a different company.

VERDICT 2 — MANAGEMENT: TRUSTWORTHY WITH MONEY, UNACCOUNTABLE WITH INFORMATION.

Split the judgement, because the record splits cleanly. On **stewardship, they pass**: debt-free with the last ₹51cr repaid in FY26, ₹185cr of expansion funded entirely from internal cash with no dilution and no borrowing, a third of profits paid out every single year without fail, CRISIL A+/A1+, and a Directors' Report that voluntarily wrote down that growth "fell short of internal projections." That is a conservative, honest promoter family, and the 0.99x book value says the market is paying nothing for the business on top of assets that are largely cash, cotton and receivables. On **disclosure and execution discipline, they fail**. The 6,048-spindle project promised for September 2025 was still being announced as newly live in July 2026. The modernisation was ₹75cr in May and ₹135cr in August — near-doubled in one quarter with no word of explanation. Capacity utilisation has never been published. Export markets and customers have never been named. Spinning, knitting and power are buried in one "Textiles" segment. There is no investor presentation, the FY26 annual report is five months overdue, and there have never been any earnings calls — which is precisely why **every verdict in Section 4 is weaker than it looks**: no one has ever had to defend a number here out loud. Registered shareholders have quietly fallen 17% in five quarters. The honest summary is that you can trust this management with your capital and cannot rely on them to tell you what they are doing with it — so you are underwriting a cotton spread you must track yourself, on a balance sheet solid enough to survive being wrong.